



**Aztec Land and Cattle
Company, Limited**

Financial Statements

December 31, 2019 and 2018



Wallace Plese + Dreher
CERTIFIED PUBLIC ACCOUNTANTS + CONSULTANTS

Aztec Land and Cattle Company, Limited

Contents

December 31, 2019 and 2018

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Independent Auditor's Report

To the Board of Directors and Stockholders
Aztec Land and Cattle Company, Limited

We have audited the accompanying financial statements of Aztec Land and Cattle Company, Limited, which comprise the statements of assets, liabilities, and stockholders' equity – tax basis as of December 31, 2019 and 2018, and the related statements of revenues and expenses – tax basis and changes in stockholders' equity – tax basis for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the basis of accounting Aztec Land and Cattle Company, Limited uses for income tax purposes; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the assets, liabilities, and stockholders' equity of Aztec Land and Cattle Company, Limited as of December 31, 2019 and 2018, and its revenue and expenses and changes in stockholders' equity for the years then ended, in accordance with the basis of accounting Aztec Land and Cattle Company, Limited uses for income tax purposes, as described in *Note 1*.

Basis of Accounting

We draw attention to *Note 1* to the financial statements, which describes the basis of accounting. The financial statements are prepared on the basis of accounting Aztec Land and Cattle Company, Limited uses for income tax purposes, which is a basis of accounting other than accounting principles generally accepted in the United States of America. Our opinion is not modified with respect to that matter.

Wallace, Plese + Dreher, P.C.

Chandler, Arizona
January 31, 2020

Aztec Land and Cattle Company, Limited

Statements of Assets, Liabilities, and Stockholders' Equity - Tax Basis

December 31, 2019 and 2018

	2019	2018
Assets		
Cash and cash equivalents	\$ 177,707	\$ 4,832
Certificates of deposit and money market accounts	1,363	1,363
Land	3,029,285	3,029,292
Investment in The Apache Railroad Company, LLC	3,832,305	3,593,174
Furniture and equipment, net of accumulated depreciation of \$6,492	700	700
Restricted cash (<i>Note 4</i>)	20,000	20,000
Project advances	143,100	143,100
Advance due from The Apache Railroad Company, LLC	1,586	1,586
Notes receivable, related parties	3,145,261	2,759,328
	<u>\$ 10,351,307</u>	<u>\$ 9,553,375</u>
Liabilities and Stockholders' Equity		
Liabilities		
Deferred gains on sales of land and membership interest	\$ 2,460,626	\$ 2,461,608
Customer deposit	20,000	20,000
Note payable to related party	-	4,000
Convertible notes payable, related parties (<i>Note 8</i>)	800,000	-
	<u>3,280,626</u>	<u>2,485,608</u>
Contingencies (<i>Note 12</i>)		
Stockholders' equity		
Common stock, \$0.25 par value; authorized 200,000 shares; issued and outstanding 150,010	37,502	37,502
Additional paid-in capital	7,818,820	7,818,820
Retained deficit	(785,641)	(788,555)
	<u>7,070,681</u>	<u>7,067,767</u>
	<u>\$ 10,351,307</u>	<u>\$ 9,553,375</u>

See Notes to Financial Statements

Aztec Land and Cattle Company, Limited

Statements of Revenues and Expenses - Tax Basis

Years Ended December 31, 2019 and 2018

	2019	2018
Revenues collected		
Rentals (<i>Note 14</i>)		
Grazing lease and access license income	\$ 260,735	\$ 262,958
Renewable energy development leases	190,000	195,000
Real estate and sales taxes collected from lessees	7,436	10,473
Other revenue		
Gain on sale of land and membership interest	10,269	98,513
Stone and gravel sales	2,394	2,077
Interest income	90,750	76,639
Management fees	196,000	64,000
Miscellaneous revenue	75	45
	<u>757,659</u>	<u>709,705</u>
Expenses paid		
Compensation (<i>Note 13</i>)	130,000	186,841
Contract services (<i>Notes 13 and 15</i>)	73,913	122,208
Professional fees	85,944	76,839
District base costs (<i>Note 12</i>)	44,685	212,421
Rent	24,800	24,800
Insurance, net of premium refund	6,550	(2,336)
Travel	26,549	30,656
Payroll taxes	9,987	10,731
Office expense	13,378	11,803
Real estate and mineral taxes	9,822	9,484
Telephone	3,707	3,118
Pension plan	19,500	18,000
Contributions	1,500	1,000
Amortization	39,937	39,936
Dry Lake farm expenses (<i>Note 17</i>)	227,965	47,756
Interest expense (<i>Notes 8 and 15</i>)	20,461	-
Other expenses paid	15,927	26,214
	<u>754,625</u>	<u>819,471</u>
Excess (deficiency) of revenues collected over expenses paid before income taxes	3,034	(109,766)
Income taxes paid	<u>120</u>	<u>120</u>
Excess (deficiency) of revenues collected over expenses paid	<u>\$ 2,914</u>	<u>\$ (109,886)</u>

See Notes to Financial Statements

Aztec Land and Cattle Company, Limited

Statements of Changes in Stockholders' Equity - Tax Basis

Years Ended December 31, 2019 and 2018

	Common stock	Additional paid-in capital	Retained deficit	Total
Balances, December 31, 2017	\$ 37,396	\$ 7,686,840	\$ (678,669)	\$ 7,045,567
Issuance of common stock	156	131,930		132,086
Cancellation of shares	(50)	50		-
Deficiency of revenues collected over expenses paid	-	-	(109,886)	(109,886)
Balances, December 31, 2018	37,502	7,818,820	(788,555)	7,067,767
Excess of revenues collected collected over expenses paid	-	-	2,914	2,914
Balances, December 31, 2019	<u>\$ 37,502</u>	<u>\$ 7,818,820</u>	<u>\$ (785,641)</u>	<u>\$ 7,070,681</u>

See Notes to Financial Statements

Aztec Land and Cattle Company, Limited

Notes to Financial Statements – Tax Basis December 31, 2019 and 2018

Note 1 – Nature of Business and Significant Accounting Policies

Nature of operations:

Aztec Land and Cattle Company, Limited (the "Corporation") is incorporated in New York and is engaged in managing its land to maximize its long-term economic value.

A summary of the Corporation's significant accounting policies follows:

Basis of accounting:

The Corporation prepares its financial statements on the cash basis of accounting used by the Corporation for federal income tax purposes. The income tax basis of accounting is a special purpose financial reporting framework that differs from accounting principles generally accepted in the United States of America (GAAP). Consequently, certain revenues and expenses are recognized in the determination of excess (deficient) revenues over expenses collected in different reporting periods than they would be if the financial statements were prepared in conformity with GAAP. The income tax basis of accounting differs from GAAP for the Corporation primarily due to recognition of revenues when collected and recognition of expenses when paid. Additionally, the Corporation uses the installment method to recognize gains on sales of land and membership interest to related parties. This treatment differs from GAAP, whereby any related party gains would be deferred the identified properties were sold to unrelated third parties. Finally, the Corporation capitalized certain costs related to its acquisition of The Apache Railroad Company, LLC, and is amortizing those costs over fifteen years. This treatment differs from GAAP, whereby costs to acquire a business are generally expensed when incurred.

Although income tax rules are used to determine timing of the reporting of revenues and expenses, nontaxable revenues and nondeductible expenses, if applicable, are included in the determination of excess (deficient) revenues collected over expenses paid. The Corporation did not receive non-taxable revenue during the years ended December 31, 2019 and 2018.

Use of estimates:

The preparation of financial statements in conformity with the cash basis of accounting used for federal income tax reporting requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Many types of transactions are susceptible to varying interpretations under federal and state income tax laws and regulations. As such, the amounts reported in the accompanying financial statements may be subject to change upon final determination by the taxing authorities.

Cash and cash equivalents:

The Corporation considers all cash investments with original or purchased maturities of three months or less to be cash equivalents.

Investments in LLCs:

The Corporation had a membership interest in Snowflake Land JV, LLC ("SL JV, LLC"), which it liquidated in 2017, and has a membership interest in The Apache Railroad Company, LLC ("ARC"), the sole shareholder of The Apache Railway Company (the "Railway"). As a limited liability company, ARC's excess (deficient) revenues over expenses are taxable proportionately to its unit holders for federal and state income tax reporting purposes. The Corporation's share of ARC's net income (loss) is recognized as a gain (loss) in the Corporation's Statement of Revenues and Expenses and is added to (deducted from) the investment account. Capital contributions to ARC are treated as additions to the investment account, and distributions received from ARC are treated as reductions. See *Note 3*.

Aztec Land and Cattle Company, Limited

Notes to Financial Statements – Tax Basis December 31, 2019 and 2018

Note 1 – Nature of Business and Significant Accounting Policies (Continued)

Grazing land and mineral rights:

The land is recorded at average cost for income tax purposes. No value has been assigned to mineral rights retained by the Corporation on land that has been sold or otherwise disposed of in prior years.

Furniture and equipment:

Furniture and equipment are recorded at cost and depreciated using accelerated methods over their estimated useful lives (5 to 7 years), as allowed by the income tax basis of accounting. Furniture and equipment consists of fully depreciated assets with an original cost of \$6,492. Works of art have a non-depreciable cost basis of \$700.

Deferred gains on sales of land and membership interest:

The Corporation uses the installment method to recognize revenues from the sales of land and membership interests. The installment method recognizes gains on a sale when payments from the recipient are received. The unrecognized gain appears as a liability in the Statements of Assets, Liabilities, and Stockholders' Equity. See *Note 7*.

Recognition of revenue:

The Corporation recognizes revenue when received.

Income taxes:

Income taxes paid as shown on the Statements of Revenues and Expenses consist of all amounts paid for prior years and current year estimated payments. If assessed, the Corporation would classify any interest and penalties associated with a tax position as other expenses in the Statement of Revenues and Expenses.

Subsequent events:

Management has evaluated subsequent events through January 31, 2020, which is the date the financial statements were available to be issued.

Note 2 – Concentrations of Risk

The Corporation maintains its cash in bank deposit accounts, which at times may exceed federally insured limits.

Approximately 18% and 17% of the Corporation's revenue for the years ended December 31, 2019 and 2018, respectively was provided by a solar energy lease and approximately 7% and 11% of revenue was provided by a wind data license agreement (see *Note 14*).

Note 3 – Investment in The Apache Railroad Company, LLC

In February 2017, the Corporation made a \$966,250 capital contribution to ARC, along with a like contribution from the Company in the amount of \$283,750, for a total of \$1,250,000. ARC, in turn, contributed the proceeds to the Railway to reduce the principal balance of the Railway's \$2,500,000 in third-party loans by a like amount. At the same time, the Railway obtained an extension of the maturity date of its loans to December 2020. These loans are guaranteed by ARC, the Corporation, the Company, and personally by the Corporation's president.

Aztec Land and Cattle Company, Limited

Notes to Financial Statements – Tax Basis December 31, 2019 and 2018

Note 3 – Investment in The Apache Railroad Company, LLC (Continued)

In December 2017, the third-party member of ARC made a \$1,250,000 capital contribution to ARC. A portion of the proceeds was contributed to the Railway and used to reduce the principal balance of the Railway's loans and for working capital. At December 31, 2019 and 2018, the balance of the Railway's loans to its third-party lender was approximately \$673,700 and \$733,100, respectively. In December 2018 and March 2019, the Corporation forgave \$150,000 and \$279,068, respectively, of principal on its revolving credit note with the Railway (see *Note 6*), converting those amounts into capital contributions to ARC. Additionally, the third-party member of ARC extended loans of \$150,000 and \$279,068 to the Railway in 2018 and 2019, respectively, which were also converted into capital contributions to ARC. The Corporation's investment activity in ARC was as follows for the years ended December 31:

	<u>2019</u>	<u>2018</u>
Balance at beginning of year	\$ 3,593,174	\$ 3,483,110
Capital contribution	279,068	150,000
Amortization of acquisition costs	<u>(39,937)</u>	<u>(39,936)</u>
Balance at end of year	<u>\$ 3,832,305</u>	<u>\$ 3,593,174</u>

Note 4 – Restricted Cash

At December 31, 2019 and 2018, restricted cash consisted of a certificate of deposit held as collateral on a sandstone mining lease agreement that expires in September 2020. Interest is payable directly to the mining lessee and the certificate of deposit is accessible to the Corporation only upon breach of contract.

Note 5 – Project Advances

In April 2013, the Corporation advanced cash to the Little Colorado Water Conservation District ("LCWCD") in furtherance of the establishment of irrigation and electrical services for the benefit of the Corporation's land. LCWCD's purpose is to provide reasonably priced water and electrical services to land within LCWCD's boundaries, the majority of which belongs to either the Corporation or the Company. As of December 31, 2019, the Corporation had advanced LCWCD \$143,100 in cash. No advances have been made since 2017.

Note 6 – Notes Receivable, Related Parties

Aztec Land Company, LLC and Subsidiaries:

Notes receivable consist of several promissory notes due from the Company or the Company's subsidiaries, Aztec East Jeffers, LLC and Aztec Despain Ranch, LLC (hereafter, "East Jeffers, LLC" and "Despain, LLC", respectively). The Company is an affiliate of the Corporation (see *Note 11*).

In December 2009, a note payable to the Corporation was executed by Despain, LLC in exchange for 6,443 acres. The note provides for annual principal and interest payments of \$50,000, with the unpaid principal balance accruing interest at an annual rate of 4.25%. The note has a maturity date of December 2024 and its balance was \$1,121,218 and \$1,122,217 as of December 31, 2019 and 2018, respectively. In 2019 and 2018, the Corporation received \$49,001 and \$47,788 of interest income and \$999 and \$2,212 of principal payments, respectively. The Company may prepay the note without penalty.

Aztec Land and Cattle Company, Limited

Notes to Financial Statements – Tax Basis December 31, 2019 and 2018

Note 6 – Notes Receivable, Related Parties (Continued)

In October 2011, the Corporation sold its entire membership interest in East Jeffers, LLC to the Company for \$1,939,000 (see *Note 7*). The Company paid \$193,900 and executed a promissory note for the remainder of the purchase price due October 1, 2031 with annual payments of \$90,000 and the balance, compounded by an annual interest rate of 4.5%, due at maturity. The promissory note was amended on January 1, 2016, revising the annual payments to \$40,000 and decreasing the interest rate to 3%. The note is secured by 100% of the membership interest in East Jeffers, LLC. The note had a balance of \$1,393,043 as of December 31, 2019 and 2018. The Corporation forgave \$182,275 of the note due the Company in exchange for the Company's interest in SL JV, LLC on May 31, 2017 (see *Notes 3 and 7*). In 2019 and 2018, the Corporation received \$41,749 and \$28,851 of interest income and \$0 and \$25,722 of principal payments, respectively. The Company may prepay the note without penalty.

The Apache Railway Company:

In April 2014, the Corporation executed an unsecured revolving credit note with the Railway. The president of the Railway is an officer, stockholder, and director of the Corporation. The note was amended on October 1, 2019 to allow a maximum advance of \$700,000. The note is due on demand, or, if repayment is not demanded, the note will mature on December 31, 2020. Interest accrues from and after the date of disbursement at 4% per year. On December 17, 2018, the Corporation forgave \$150,000 of principal and converted the \$150,000 into a capital contribution to ARC, and on March 27, 2019, the Corporation forgave an additional \$279,068 of principal and converted the \$279,068 into a capital contribution to ARC (see *Note 3*). The principal balance on the note was \$631,000 and \$244,068 at December 31, 2019 and 2018, respectively. The Corporation did not receive interest income in 2019 or 2018.

Note 7 – Deferred Gains on Sales of Land and Membership Interest

In December 2009, the Corporation sold 6,443 acres of land to Despain, LLC. The total sales price of \$1,288,500 was received from Despain, LLC in the form of a promissory note (see *Note 6*) and \$130,000 in cash. The deferred gain was \$1,102,227 and \$1,103,209 at December 31, 2019 and 2018, respectively.

In June 2011, the Corporation contributed 14,143 acres of land to form East Jeffers, LLC. In October 2011, the Corporation sold its membership interest in East Jeffers, LLC to the Company. The total sales price of \$1,939,000 was received from the Company in the form of a promissory note (see *Note 6*) and \$193,900 in cash. The deferred gain was \$1,358,399 and \$1,358,399 at December 31, 2019 and 2018, respectively.

Note 8 – Convertible Notes Payable, Related Parties

In August and September of 2019, the Corporation entered into nine convertible note payable agreements with related parties, including shareholder family members of management, shareholders, and trusts and IRAs belonging to shareholders. These notes have an aggregate principal balance of \$800,000, mature on August 31, 2022, bear a 7% interest rate based on a 360-day year and can be repaid by the Corporation at any time. Interest payments are payable quarterly, in arrears, and totaled \$18,069 in 2019. The notes are convertible into shares of stock in the Corporation (with corresponding units of the Company), at the option of the note holders beginning August 31, 2021, and ending on the maturity date. In the event a note holder elects to convert, the principal balance will be reduced by a percentage of the interest already paid; and the base conversion price will be \$165 (assuming the Corporation does not issue, redeem or repurchase shares between now and the maturity date). If all shareholders were to exercise on the first available conversion date, 4,653 shares would be issued. If all shareholders were to exercise on the maturity date, 4,555 shares would be issued. At maturity, the Corporation also has the option to repay the notes with shares in lieu of cash with the number of shares equal to the principal balance of the note divided by 85% of the base conversion price. Using \$165 as the base conversion price, the Corporation would need to issue 5,706 shares to repay all notes upon maturity. The Corporation has reserved, but not issued, these shares.

Aztec Land and Cattle Company, Limited

Notes to Financial Statements – Tax Basis December 31, 2019 and 2018

Note 9 – Employee Pension Plan

The Corporation established a money purchase pension plan effective January 1, 1991. The plan covers all employees age 21 and older on completion of one year of service. The plan provides for the Corporation to contribute 15% of each participant's covered compensation for the plan year. The Corporation uses the cash method for income tax reporting, and therefore does not recognize pension liabilities. Pension contributions are charged to expense when paid and totaled \$19,500 and \$18,000 for the years ended December 31, 2019 and 2018, respectively.

Note 10 – Income Taxes

The Corporation's taxable income for the year ended December 31, 2019 was reduced by the benefit of net operating losses carried forward from prior years. The Corporation has approximately \$1,264,000 and \$756,000 of federal and State of Arizona net operating loss carryforwards, respectively, as of December 31, 2019. The federal loss carryforwards begin to expire in 2026. The State of Arizona loss carryforwards begin to expire in 2033.

Note 11 – Formation of Aztec Land Company, LLC

In 2002, the Corporation formed the Company. Upon formation of the Company, the Corporation simultaneously declared a dividend of all the units of interest in the Company to the Corporation's stockholders. The dividend equaled one unit of interest in the Company for each share of the Corporation's regular capital stock. Each unit of interest in the Company is in book entry form only (meaning there are no certificates) and each unit is "stapled" to its respective share of the Corporation's regular capital stock. As such, a unit in the Company can only be transferred by transferring the share of capital stock to which it is "stapled".

Note 12 – Contingencies

The Corporation's groundwater rights have been subject to pending litigation for almost 40 years. The case is *In Re the General Adjudication of All Rights to Use Water in the Little Colorado River System and Source*, Case No. CV-6417. The litigation involves a determination of the relative rights of water users in the Little Colorado River basin. The more significant issues in the litigation involve Native American claims of water rights, primarily those of the Hopi and Navajo Tribes and the United States on behalf of the Tribes. All water rights claims in the Little Colorado River basin are subject to this adjudication. The adjudication is an extremely complex matter and involves thousands of parties. Management expects this adjudication to continue for a substantial period of time. No monetary damages are being claimed by any party. The Corporation is responding to this litigation through active participation in the adjudication's numerous legal proceedings and longstanding settlement negotiations and through its financial support of LCWCD, which itself is involved in the litigation for the same reasons. In managing the litigation and attempting to control costs, the Corporation and LCWCD entered into a joint defense agreement with several northern Arizona municipalities, irrigation districts, and water companies with similar, if not identical, legal interests. Because the Corporation and the Company own the majority of land within LCWCD's service area, they together pay 85% of the expenses allocated to LCWCD via the joint defense agreement. The 15% balance is borne by an unrelated third party and the Railway, both of which receive water deliveries from LCWCD. Given the low likelihood of settlement, costs of the litigation in the coming years are expected to remain at or exceed 2019 levels. 2018 and 2019 assessments by LCWCD to the Corporation for LCWCD's fixed costs (meaning those which do not vary based on water use), which principally arose from the litigation, appear on the Statements of Revenues and Expenses as "District Base Costs".

Aztec Land and Cattle Company, Limited

Notes to Financial Statements – Tax Basis December 31, 2019 and 2018

Note 13 – Stockholders' Equity

In 2018, the total amount of outstanding shares of the Corporation's common stock increased from 149,582 to 150,010. On January 23, 2018, the Corporation issued 331 shares (to which were stapled a corresponding number of membership interests in the Company) to its president in lieu of cash compensation for \$70,000 of wages earned in 2017. On the same day, 295 shares were issued to Page Land & Cattle Co. ("Page") in lieu of payment for \$62,245 of contract services and expenses provided by Page to the Corporation in 2017 (see *Note 15*). The shares were issued at \$211 per unit, the estimated trading value of the Corporation's stock as of the date of the election to issue the shares. The Corporation cancelled 198 shares in 2018. There were no issuances or cancellations of shares in 2019.

Note 14 – Operating Leases (As Lessor)

Grazing and other leases:

The Corporation leases its land for grazing to multiple tenants. The grazing leases are written for five-year terms but expire at various times. They are generally expected to be renewed as they expire and are classified as operating leases.

In 2010, the Corporation entered into road use agreements granting an electrical wind turbine developer (the "grantee") access over the Corporation's land to the grantee's wind turbine projects. The annual lease payments are \$20,000. The payments are subject to inflationary adjustments in the future and management estimates that the agreements will continue for 25 years. The lease payment was increased to \$22,457 in 2019. The agreements terminate when the grantee removes its wind turbine projects. Management has included one year of future minimum payments due under this lease in the schedule below.

A schedule, by years, of the approximate minimum rental income provided for by non-cancellable leases, which were in effect as of December 31, 2019, follows. The amounts shown for 2020 and subsequent years do not reflect the Corporation's belief as to amounts which will be realized, actual results being dependent on the amounts the Corporation is able to continue charging for its grazing leases.

Approximate minimum future rental income for the years ending December 31:

2020	\$ 249,000
2021	200,000
2022	58,000
2023	3,600
2024	<u>2,500</u>
	<u>\$ 513,100</u>

Renewable energy development leases:

The Corporation and the Company have entered into four renewable energy development leases – three for solar energy and one for wind energy – and one data license agreement (which expired in 2018). See below for a summary of the terms. During the development term for all leases, the lessee may cancel at any time but without refund of previous payments.

Aztec Land and Cattle Company, Limited

Notes to Financial Statements – Tax Basis December 31, 2019 and 2018

Note 14 – Operating Leases (As Lessor) (Continued)

	Approximate Acres (as of 12/31/19)	Commencement Date	Development Term Length	Operations Term Length
Solar Lease A	3,200	9/25/2019	5 Years	30 Years
Solar Lease B	1,920	2/27/2018	5 Years	35 Years
Solar Lease C	2,900	11/20/2019	5 Years	35 Years
Wind Lease A	34,000	8/28/2019	8 Years	30 Years*

* Wind Lease A includes a 10-year extension option with terms to be mutually agreed upon at a later date.

Wind Data License Agreement: In June 2018, the Corporation licensed its legacy data to a renewable energy developer. The license has since expired. No further action was taken by the developer.

In December 2019, the lessee of Solar Lease A commenced limited construction activities on a portion of its leased land to maintain its solar investment tax credits. The solar project is not considered operational; however, the Company received an additional payment for permitting limited construction to proceed. This payment, along with payment of the development term rent, will be made annually until the lessee terminates or the project becomes operational.

The Corporation received rental income from renewable energy development leases totaling \$190,000 and \$195,000 in the years ended December 31, 2019 and 2018, respectively.

Note 15 – Related Party Transactions Not Disclosed Elsewhere

During 2019 and 2018, the Corporation paid \$85,562 and \$54,543, respectively, to Page for contract services and expenses incurred in connection with the documentation, organization, and management of the Corporation's land and financial records, preservation of its water rights, and reimbursement of expenses paid by Page on behalf of the Corporation. In addition, the Corporation paid Page \$15,000 in 2019 and 2018 for office rent under a cancelable agreement. The Corporation executed a note payable to Page for \$4,000 on November 20, 2018 for funds advanced to the Corporation by Page. Principal and interest at 4% were repaid in 2019. On May 2, 2019, the company entered into a line of credit agreement with Page with a maximum draw of \$250,000 and an interest rate of 6%, the balance of which is due on December 31, 2020. Interest paid to Page in 2019 totaled \$2,392.

The Corporation paid Ian H. Fraser, officer (Chairman), director and stockholder of the Corporation, \$12,057 and \$11,732 in 2019 and 2018, respectively, for reimbursement of office rent, office expenses, and travel.

The Corporation received \$28,975 and \$87,370 from the Company in 2019 as reimbursement for legal services and LCWCD base costs, respectively, paid on the Company's behalf by the Corporation.

In 2018 and 2019, the Corporation paid \$3,000 to Arizona Farm and Ranch Group for membership dues. The president of the Corporation is vice president and a member of the Board of Directors of Arizona Farm and Ranch Group.

The Corporation paid Ryley, Carlock & Applewhite \$38,356 and \$15,676 for legal services in 2019 and 2018, respectively. Some of these legal services were performed by a relative of the president of the Corporation.

Aztec Land and Cattle Company, Limited

Notes to Financial Statements – Tax Basis December 31, 2019 and 2018

Note 16 – Aztec Area Land Plan

In May 2011, Navajo County, Arizona approved and adopted the Aztec Area Plan (the “Plan”) a comprehensive land planning document for the Corporation’s and Company’s property. The Plan is posted in its entirety on the Corporation’s website: www.azteclandco.com.

Note 17 – Water and Related Development

North Well Field:

In 2012, in furtherance of the Plan, the Company executed a 100-year lease for its well field near Holbrook (the “North Well Field”) with LCWCD, a municipality that provides water and power to land within its service area, the majority of which is owned by the Corporation and the Company. In 2013, Arizona Department of Water Resources approved LCWCD’s application for it to provide 10,184 acre feet of water per year from the North Well Field to its service area through 2035.

South Well Field:

In 2017, the Corporation acquired and then conveyed to LCWCD well sites and related supporting infrastructure comprising the South Well Field (see *Note 5*), a well field with a long-term water production history of 15,000 acre feet per year, of which the Corporation is entitled to 13,490 acre feet per year. At the same time, the Corporation and the Company entered into a water service contract with LCWCD obliging the Corporation and the Company to pay certain fixed costs of LCWCD (the District Base Costs) and, depending on water usage, a portion of LCWCD’s operating costs based on an assessment that is determined annually by LCWCD. The fixed costs of LCWCD in 2018 and 2019 arose primarily from LCWCD’s share of litigation costs in the Little Colorado River System Adjudication (see *Note 12*).

Dry Lake Farm:

The operating costs assessed to the Corporation by LCWCD for water usage arose from a pilot program undertaken by the Corporation to test and develop a sustainable use for the 3,000-acre farm (the “Dry Lake Farm”). The Dry Lake Farm is part of 12,000 acres acquired by the Corporation in 2017 from a purchase of the remaining 88.74% interest not already owned by the Corporation and the Company in SL JV LLC. Costs associated with the pilot program are shown in the Statements of Revenue and Expenses as “Dry Lake Farm Expenses”. Further activity relating to Dry Lake Farm awaits the Corporation’s assessment of the profitability of the pilot program.